



Qualification Programme Examination Panelist's Report

Module 7 – Financial Management (December 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple-Choice Questions

General Comments

This was the fifth cohort to take the new QP Module 7 Examination. This section comprised ten multiple-choice questions that tested basic knowledge of both financial management and managerial accounting fields.

In general, candidates' performance was unsatisfactory in Section A. Most of the candidates could not identify the correct answers for more than half of the questions.

Specific Comments

Most of the candidates were unable to master the key concept of Modigliani-Miller propositions without taxes. This is one of the worst attempted questions. Less than one-fifth of the candidates provided the correct answer for Question 6.

Only one-third of candidates were able to master the key concept of different capital budgeting analysis methods. Two-third of the candidates were not able to determine the values of NPV and profitability index (PI) when the internal rate of return (IRR) of a project was given in Question 7.

Question 9 was one of the worst attempted questions, which indicates that candidates have little knowledge about sustainable growth rate. Less than one-fifth of the candidates were able to compute the correct sustainable growth rate in Question 9.

(II) Section B – Written Questions

General Comments

There were four case questions in Section B incorporating fundamental knowledge in finance and managerial accounting. Performance on Question 1, which covered typical questions on risk and return for individual stocks and a portfolio, was satisfactory.

Candidates' performance was also satisfactory on Question 2, with the questions mainly covering topics on statement of cash flows and the DuPont equation.

Candidates' performance was less satisfactory on Question 3, with the questions mainly covering topics on project appraisal.



Question 4 was the worst attempted question. Only a few candidates were able to obtain the correct answers for decision making when there are constraints on resources (i.e. machine hours). In addition, candidates were not familiar with the topic on mitigating foreign exchange risk using forward contracts.

Candidates appear to have managed their time well during the examination, as most of the candidates were able to answer all parts of the four questions in Section B.

Specific Comments

Question 1(a) – 3 Marks

This question required candidates to calculate the beta coefficients for three stocks. The performance of the candidates was satisfactory. More than half of the candidates were able to provide the correct answers.

Question 1(b) – 3 Marks

This question required candidates to calculate the coefficient of variation of each stock. This was one of the worst attempted questions. Less than 15% of the candidates were able to compute the correct answers.

Question 1(c) – 2 Marks

This question required candidates to pick one stock to invest based on the coefficient of variation. Candidates did not understand how the coefficient of variation can be used for making investment decision. Only one-fourth of candidates were able to pick the correct stock with the lowest coefficient of variation (i.e., the lowest risk per unit of return).

Question 1(d)(i) – 2 Marks

This question required candidates to compute the expected return of a portfolio. The performance of the candidates was satisfactory. More than half of the candidates were able to compute the correct answer.

Question 1(d)(ii) – 4 Marks

This question required candidates to explain whether the weight average of an individual stock's standard deviation can be used to measure the total risk of a portfolio. Most of candidates pointed out that it cannot be used to measure the total risk of a portfolio. However, most candidates failed to provide the correct explanations.

Question 1(e) – 6 Marks

This question required candidates to explain the difference between systematic risk and unsystematic risk and identify an example for each type of risk. Most of the candidates pointed out at least some of the differences between these two risks and provided correct examples for them.



Question 2(a) – 12 Marks

This question required candidates to prepare a pro forma statement of cash flows. Most of the candidates received more than half of the marks for this question. However, only a few candidates were able to complete the pro forma statement of cash flows and obtain full marks.

Question 2(b) – 4 Marks

This question required candidates to compute the return on equity (ROE) by multiplying the three component parts of the DuPont equation. About half of the candidates were able to compute the correct ROE. However, a few candidates simply computed the ROE directly without referring to the DuPont equation as per the requirement in the question.

Question 2(c) – 4 Marks

This question required candidates to explain how the DuPont equation can be used by the management of a company. Candidates were not familiar with the usage of the DuPont equation and about half of the candidates scored zero marks in this question.

Question 3(a) – 2 Marks

This question required candidates to compute the cost of equity using the dividend growth mode. This was one of the worst performed questions in this section. Despite this being a very typical type of exam question, more than two-third of the candidates failed to receive any marks for this question.

Question 3(b) – 3 Marks

This question required candidates to calculate the weighted average cost of capital for a project. Most candidates were able to use the correct formula to complete the calculation.

Question 3(c) – 3 Marks

This question required candidates to compute the net present value of a new project and determine whether it should be accepted. More than half of the candidates were able to point out that a project should be accepted if the NPV is positive. However, less than one fifth of the candidates were able to compute the correct NPV for the project.

Question 3(d) – 6 Marks

This question required candidates to outline the advantages and disadvantages of using debt compared to issuing equity to raise additional capital for a new project. The performance of the candidates was satisfactory in this question. About two-thirds of the candidates received more than half of the marks for this question.



Question 3(e) – 6 Marks

This question required candidates to explain pecking order theory. As this topic has not appeared frequently in past examinations, it seems that most candidates had not familiarised themselves with the theory. As such, this was one of the worst performed questions in this section. About 75% of the candidates scored zero marks on this question.

Question 4(a)(i) – 8 Marks

This question required candidates to determine the amounts of the components to be purchased from an external supplier if there is a constraint of machine hours in the production process. This question covered topics in relevant cost and incremental cost. This was one of the worst attempted questions, with about 80% of the candidates scoring zero marks on this question. This indicates that candidates were not able to master the application of the concepts of relevant cost and incremental cost in the decision-making process. Most candidates did not calculate the incremental cost per machine hour for buying each of the components in order to help them rank the order of cheapest for the “make or buy” decision.

Question 4(a)(ii) – 2 Marks

This question required candidates to list two factors for choosing an external supplier. Candidates’ performance was satisfactory. Half of the candidates were able to get full marks on this question.

Question 4(b)(i) – 3 Marks

This question required candidates to calculate the gain or loss on a forward contract. It seems that most of the candidates were not able to master the key concepts of a forward contract. Two-thirds of the candidates did not score any marks on this question.

Question 4(b)(ii) – 4 Marks

This question required candidates to explain why a company should hedge the currency exposure with a forward contract. Candidates’ performance was unsatisfactory. Half of the candidates failed to score any marks on this question.

Question 4(b)(iii) – 3 Marks

This question required candidates to identify another major risk on foreign currency receivable and to advise two ways to mitigate it. Candidates’ performance was unsatisfactory. Half of the candidates scored zero marks on this question.



(III) Conclusion and Recommendation

Candidates are advised not to skip any topics when preparing for the examination, even those which historically have appeared less frequently in past examinations. For example, candidates had not familiarised themselves with topics such as pecking order theory in Question 3(e), relevant cost in the decision making process in Question 4(a)(i), and forward contract to hedge foreign exchange risk in 4(b)(i) and 4(b)(ii). Candidates should spend sufficient time studying in order to cover all topics in the syllabus.